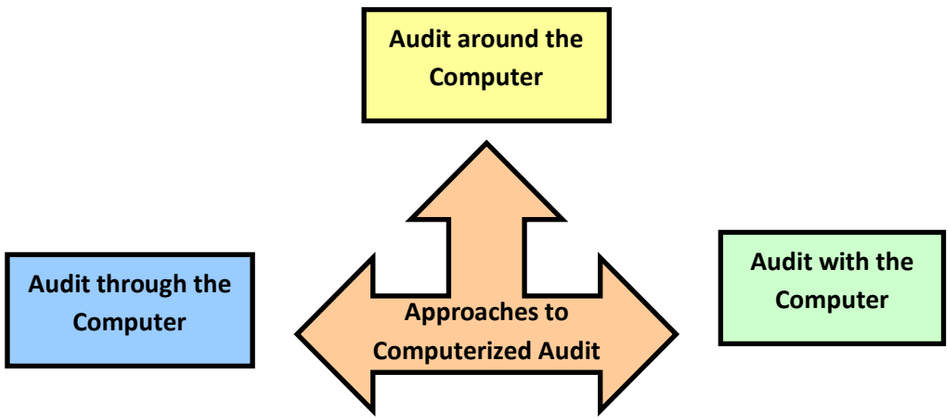
1.14 Auditing in a Computer Based Environment

1.14.1 Introduction

Information Technology (IT) is integral to modern accounting and management information systems. It is, therefore, essential that auditors should be aware of the impact of IT on the audit of a client's financial statements. Information Technology auditing (IT auditing) began as Electronic Data Process (EDP) auditing and developed largely as a result of the rise in technology in accounting systems. The last few years have been an exciting time in the world of IT, auditing as a result of the accounting scandals and increased regulations. Regardless of the computer systems used, the audit objectives and approach will remain largely unchanged from that if the audit was being carried out in a non-computer environment.

1.14.2 Audit Approach in Computeriszed Environment



1. **Auditing Around the Computer:** It is the type of auditing done in a traditional method. The auditor summarises the input data and ignores the computer's processing but ensures the correctness of the output data generated by the computer, this approach is generally referred to as "auditing around the computer". This methodology was primarily focused on ensuring that source documentation was correctly processed and this was verified by checking the output documentation to the source documentation
2. **Auditing Through the Computer:** Due to the "real time" computer environments, there may only be a limited amount of source documentation or paperwork hence the auditor may employ an approach known as "auditing through the computer". In this approach, the reliability and accuracy of the results are analysed through the computer. This involves the auditor to perform tests on the information technology controls to evaluate their effectiveness like Compliance test, Test Packs, Reprocessing.
3. **Auditing with the Computer:** The utilization of computer by the auditor for some audit work and he uses some general software for the purpose of calculating depreciation, printing letters, and duplicate checking and files comparison.

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